Unilateral Mistake

English contract law | Study guide | Terms, identity and the effect on agreement

A unilateral mistake is an error made by one party. English law generally gives effect to the agreement that the parties' words and conduct objectively convey. The effect of a mistake depends on what the party got wrong and what the other party knew when the agreement was made.

1. Identify what the party got wrong

A price or pricing unit can be a term of the offer. An assumption about the value of the goods or a fact that motivated the deal is generally a different matter. In *Statoil v Louis Dreyfus*, a known error in the date used to calculate a settlement did not prevent agreement on the amount itself.

2. Ask whether the other party knew

If the recipient knew that an important term in the offer was misstated, an apparent acceptance may fail to create a contract. Earlier quotations, trade practice and contemporaneous messages may show knowledge. A favourable price alone can also reflect a genuine discount, so consider the full context.

3. In an identity case, identify the intended party

Ask whether the apparent agreement was with the person who made the offer or only with a particular person or firm being impersonated. Read the documents closely. In a face-to-face sale, the starting point is that the seller intends to deal with the person present. Fraud may then make the contract voidable.

4. Work out the effect on the contract and title

If the mistake prevented agreement, there is no binding contract. If fraud induced a contract that was formed, it may be rescinded. In a sale of goods, a later buyer may acquire good title under section 23 of the Sale of Goods Act 1979 if the seller's voidable title had not been avoided by the time of resale and the buyer bought in good faith without notice of the defect.

> Legal English | **Void** indicates an agreement with no legal effect from the outset. A **voidable** contract has legal effect unless and until it is set aside.

The Leading Cases

Hartog v Colin & Shields (1939) | A mistake in the offer

The parties had discussed Argentine hare skins at prices per skin, in line with usual trade practice. The sellers' written offer for 30,000 skins quoted prices per pound of weight, which made the overall price much lower. The court inferred from the evidence that Hartog had realised there was an error. His acceptance did not create a contract at the quoted price.

Cundy v Lindsay (1878) | An impersonated firm

Alfred Blenkarn ordered handkerchiefs by letter, presenting himself as the established firm Blenkiron & Co. Lindsay supplied the goods intending to deal with that firm. The House of Lords held that no contract arose with Blenkarn. He acquired no title to pass to Cundy, and Lindsay's claim in conversion succeeded.

Shogun Finance v Hudson (2003) | Identity in a written agreement

A rogue used another man's driving licence to obtain a car under a written hire-purchase agreement. The majority held that, on its proper construction, the agreement identified the real licence holder as the proposed hirer. The rogue was never the hirer under that agreement, and the later buyer could not rely on section 27 of the Hire-Purchase Act 1964.

Saunders v Anglia Building Society (1970) | A mistaken document

The narrow plea of *non est factum* concerns a signed document fundamentally different from what the signer believed it to be. The signer must also have taken reasonable care. A misunderstanding about a particular clause ordinarily falls short of that threshold.

> Exam method | For a mistaken term, trace what the recipient knew before accepting. For a mistake as to identity, identify the parties to the alleged contract before tracing title to the goods.

Worked Problem and Authorities

A price per lamp or per carton?

A supplier and a retailer discuss the sale of 200 lamps packed in cartons of ten. Two emails quote £120 per lamp. The supplier's final offer says £120 per carton. Before accepting, the retailer's purchasing manager messages a colleague, 'They meant £120 each. Accept before they spot it.' The supplier refuses to deliver at the carton price. Can the retailer enforce it?

Model analysis

Mistaken term. The unit of price appears in the offer and makes the total £2,400 rather than £24,000. It concerns the price payable under the proposed contract.

Knowledge at acceptance. The earlier quotes explain what the supplier intended. The manager's message is direct evidence that the retailer's negotiator recognised the error before acceptance. These facts are close to *Hartog*.

Outcome. There is likely no contract at £120 per carton. The earlier quotes may help establish the mistake. Whether there was a contract at £120 per lamp would require evidence of an offer and acceptance at that price.

> Variation | The supplier's final offer expressly announces a clearance sale, and the retailer has no reason to suspect an error. An internal mistake alone may leave the supplier bound by the price its words objectively conveyed.

Selected authorities

Hartog v Colin & Shields [1939] 3 All ER 566 | Mistaken offer
Statoil ASA v Louis Dreyfus Energy Services LP [2008] EWHC 2257 (Comm) | Term and assumption
Cundy v Lindsay (1878) 3 App Cas 459 | Identity and title
Shogun Finance Ltd v Hudson [2003] UKHL 62 | The written agreement
Saunders v Anglia Building Society [1971] AC 1004 | Non est factum
Sale of Goods Act 1979 s 23 | Voidable title